SUPERSEDING ENFORCEMENT PROTOCOL

Annex N.a

Maritime Backdoor Closure: Immediate Consequence Protocol

Automatic Classification, Escort Authority, Financial Penalties, and Bright-Line Tests for Interdiction Events

Superseding Enforcement Protocol to Annex N · Version 1.0

Self-Contained · Incorporable by Reference

May be adopted into any existing or future framework

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Preamble

Annex N prohibits interdiction of commercial vessels on the basis of non-payment of transit fees, tolls, or similar levies. It establishes a 30-day PCA arbitration mechanism for dispute resolution. However, 30 days is operationally irrelevant when a vessel is actively detained, delayed, or threatened in the Hormuz Transit Zone.

> ***This Annex N.a provides immediate consequences for interdiction events — measured in hours, not days. It does not amend Annex N. It enforces it.***

Annex N.a answers the operational gap that Annex N left open:

Table N.a-0: The Gap Between Annex N and Annex N.a

Issue	Annex N	Annex N.a Resolution
What happens when a vessel is stopped?	30-day PCA arbitration timeline	Automatic Tier 2 classification within minutes; hotline activation within 15 minutes; US escort authority; financial penalty accrual begins at T+2 hours
How is a safety inspection distinguished from interdiction?	SOLAS safeguard referenced but no test defined	Bright-line table: specific actions classified as permitted (SOLAS) or prohibited (backdoor toll) with burden of proof on Iran
What prevents repeated interdictions?	No escalation mechanism	2nd interdiction = Tier 3; 3rd interdiction = maritime module termination; progressive financial penalties

> ***Modularity Clause.*** *This Annex N.a is self-contained and may be incorporated into any existing or future agreement between the Parties by a single sentence of adoption. It does not amend or supersede conflicting provisions of any parent framework unless the Parties explicitly so agree. In the event of inconsistency, Annex N.a shall govern with respect to classification of interdiction events, escort authority, financial penalties, the bright-line test for safety inspections, repeat interdiction escalation, and vessel release procedures.*

Article 1: Immediate Classification and Hotline Activation

1.1 Automatic Tier 2 Classification

> ***Any reported interdiction event under Annex N, Article 2, shall be automatically classified as a Tier 2 Material Disruption under Annex T, Article II, effective immediately upon verification, without waiting for JIG review or PCA arbitration.***

1.2 Verification Methods

The following verification methods are sufficient for automatic classification:

Table N.a-1: Interdiction Verification Standards

Verification Source	Standard	Time to Classification
Vessel operator report (written or radio)	Credible claim of interdiction; vessel AIS shows deviation or stop	Immediate (T+0)
US naval visual observation	Direct line-of-sight confirmation of interdiction	Within 15 minutes
Satellite imagery	Vessel stopped at position inconsistent with normal transit; PGSA vessel nearby	Within 60 minutes
AIS data	Vessel speed drops to <1 knot for >10 minutes within Hormuz Transit Zone without declared emergency	Automated flag within 5 minutes

1.3 Simultaneous Activation Requirements

Upon automatic classification, the following shall occur simultaneously:

- The back-channel de-confliction mechanism under Annex R.a, Article 2, shall be activated immediately
- The JIG Secretariat shall notify both Parties within 15 minutes

- The Maritime Hotline (direct US Navy–IRGC Navy channel) shall receive an automated alert
- The Swiss Dashboard shall log the event with all available verification data

Article 2: US Escort and Override Authority

2.1 Escort Authority

> ***Upon verification of an interdiction event, the United States Navy may escort the affected commercial vessel through the Hormuz Transit Zone without that action constituting:***
>
> *(a) A use of force requiring Security Council authorization (per parent framework Article 18);*
>
> *(b) A breach of stand-off distances (per parent framework Article 6.3); or*
>
> *(c) An interdiction event by the United States.*

2.2 Permitted Escort Actions

Escort authority is limited to:

- Positioning one naval vessel within visual range of the affected commercial vessel
- Communicating to any PGSA or Iranian vessel that the commercial vessel is under escort
- Transiting through the stand-off zone for the sole purpose of completing the escort

2.3 Prohibited Escort Actions

The United States Navy shall not:

- Fire upon or disable any Iranian vessel unless fired upon first
- Board the commercial vessel without its master's consent
- Use escort authority to conduct surveillance or intelligence collection beyond what is necessary for safe transit
- Remain in the stand-off zone beyond the time necessary to complete the escort

2.4 Iranian Stand-Clear Obligation

> **Iran shall instruct all PGSA and IRGC Navy vessels to stand clear of any vessel under US escort.** Failure to stand clear within 30 minutes of notification shall constitute an additional Tier 2 breach. "Stand clear" means maintaining a distance of not less than 3 nm from the escorted commercial vessel and the US escort vessel. The JIG shall verify stand-clear compliance through AIS and satellite monitoring.

Article 3: Automatic Financial Penalty

3.1 Penalty Accrual

> ***For each verified interdiction event, a financial penalty of $1,000,000 USD per day (or portion thereof) shall accrue,*** *beginning at the time of initial interdiction and ending when the vessel is released and under way, or escorted through the Transit Zone under Article 2.*

Penalty calculation examples:

- Vessel detained 30 minutes: $1,000,000 (subject to the 2-hour release grace period in Article 6.2; any portion of a day outside that grace period counts as a full day)
- Vessel detained 25 hours: $2,000,000 (two full days, plus the initial partial day)
- Vessel detained 3 days and released: $3,000,000

3.2 Penalty Payment

The penalty shall be paid from the Multilateral Maritime Maintenance Fund (MMMF) escrow to the affected vessel operator within 14 days of the event's conclusion. If the MMMF lacks sufficient funds, the penalty shall be paid from the next scheduled sanctions relief tranche to Iran, with that tranche reduced accordingly.

3.3 Penalty Assessment and Dispute

Penalty assessment shall be automatic upon JIG verification of the interdiction event. No separate political vote or PCA arbitration is required. Iran may dispute the penalty through PCA arbitration under Annex N, Article 6, but the penalty shall be held in escrow (not released to the vessel operator) pending arbitration. If Iran prevails, the escrowed amount shall be returned to the MMMF or the applicable sanctions relief account.

3.3-A Expedited JIG Review for Frivolous Disputes

> **Upon filing of any PCA arbitration dispute under this Article, a mandatory 7-day preliminary JIG technical review shall commence.** The JIG technical neutral shall

> assess whether the dispute has prima facie merit based on: the verification data supporting the interdiction classification; the specificity of Iran's factual challenge; and whether the dispute raises a genuine question of material fact or is a procedural delay tactic.
>
> If the JIG technical neutral rules that the dispute is frivolous — meaning it lacks a good-faith factual basis, raises only procedural objections, or is manifestly intended to delay payout — the escrow hold shall be dissolved immediately and the vessel operator shall be paid within the original 14-day window regardless of any ongoing PCA track. The JIG determination of frivolity shall be published to the Swiss Dashboard and may be appealed to the full JIG within 7 days, but the dissolution of the escrow hold and payout to the vessel operator shall not be stayed pending appeal.

> **Escrow hold:** The escrowed penalty shall earn interest at the rate specified in the parent framework escrow provisions during the arbitration period. If Iran prevails, the escrowed principal plus accrued interest shall be returned. If Iran does not prevail, the escrowed amount plus accrued interest shall be released to the vessel operator. If the JIG rules the dispute frivolous under Section 3.3-A, interest stops accruing at the time of dissolution and the full escrowed amount is released to the vessel operator within the 14-day window.

Article 4: Bright-Line Test for "Safety Inspection" vs. "Backdoor Toll"

4.1 The Bright-Line Table

To prevent Iran from characterizing an interdiction as a legitimate safety inspection under SOLAS, the following bright-line test applies:

Table N.a-2: Bright-Line Test: SOLAS Safety Inspection vs. Backdoor Toll

Action	Permitted (SOLAS)	Prohibited (Backdoor Toll)
Hailing vessel by radio	Permitted	—
Requesting vessel identification via radio	Permitted	—
Asking vessel to confirm AIS broadcast	Permitted	—
Boarding vessel without master's consent	Not permitted	Presumptive interdiction
Requiring vessel to deviate from transit corridor	Not permitted	Presumptive interdiction
Demanding payment or registration documents	Not permitted	Presumptive interdiction
Delaying vessel for >15 minutes for "documentation review"	Not permitted	Presumptive interdiction
Using threats, warning shots, or show of force	Not permitted	Automatic Tier 3

4.2 Burden of Proof

> ***The burden of demonstrating that an action was a legitimate SOLAS safety inspection, not a prohibited interdiction, rests with Iran.*** *A claim of "safety inspection" unsupported by contemporaneous evidence (e.g., logged radio call, declared emergency) shall be rejected. Contemporaneous evidence shall include: timestamped radio logs; AIS data showing the vessel was not required to deviate; written*

> *confirmation from the vessel master that no demand for payment was made; and any video or photographic evidence from the vessel or US naval observation.*

4.3 Uniform Vessel Protocol Application

Any Iranian vessel that engages in a prohibited action shall be subject to the Uniform Vessel Protocol under Annex N, Article 4 — meaning the same stand-off and AIS rules apply as to military vessels. There is no "civilian enforcement" exception. PGSA vessels conducting prohibited actions shall be treated as state vessels for purposes of all maritime security provisions.

Article 5: Escalation for Repeat Interdictions

5.1 First Interdiction Event

A first interdiction event shall be classified as Tier 2 (Material Disruption) under Annex T, with the following consequences:

- 25% reduction in non-humanitarian benefits for Module Beta (Maritime) under Annex T, Table T-1
- Automatic 14-day remediation period
- Financial penalty as specified in Article 3 ($1,000,000 per day)
- Mandatory JIG review within 48 hours

5.2 Second Interdiction Event

> **A second interdiction event within any 180-day period shall be automatically reclassified as Tier 3 (Hostile Breach) under Annex T,** with the following consequences:
>
> - Full escrow freeze for Module Beta (Maritime)
> - Naval stand-off rollback to pre-framework distances
> - Matter referred to Guarantor Matrix for consensus determination
> - Financial penalty doubled to $2,000,000 USD per day
> - US escort authority expanded to include standing naval presence in the Transit Zone until further notice

5.3 Third Interdiction Event

> **A third interdiction event within any 365-day period shall be deemed a material repudiation of the parent framework's maritime provisions.** The United States may, after 48 hours' notice through the Swiss facilitator, treat the maritime modules of the parent framework as terminated, while all other modules (nuclear, economic, humanitarian) remain in force under the Firewall Principle of Annex T, Article I.2.

Table N.a-3: Repeat Interdiction Escalation Ladder

Event	Tier	Financial Penalty	Module Beta Impact	Escort Authority
1st interdiction	Tier 2	$1M/day	25% benefit reduction; 14-day remediation	Per-incident escort
2nd interdiction (within 180 days)	Tier 3	$2M/day	Full escrow freeze; stand-off rollback	Standing naval presence
3rd interdiction (within 365 days)	Material repudiation	$2M/day (ongoing)	Maritime module terminable by US after 48-hr notice	Unrestricted; framework maritime provisions voidable

Article 6: Vessel Release Procedure

6.1 Automatic Release Timeline

If a commercial vessel is interdicted, the following release procedure shall apply automatically:

Table N.a-4: Vessel Release Timeline

Time	Action	Responsible Party
T+0	Interdiction reported; automatic Tier 2 classification	JIG Secretariat
T+15 min	US Navy notified; escort authority activated	US CENTCOM
T+30 min	Back-channel activated; Iran notified of classification	JIG + Facilitator
T+2 hours	If vessel not released, financial penalty begins accruing	Automatic
T+6 hours	If vessel still detained, matter referred to Guarantor States	JIG
T+12 hours	If vessel still detained, public disclosure with vessel operator consent	Joint Secretariat
T+24 hours	If vessel still detained, presumptive Tier 3 escalation	Automatic

6.2 Iranian Release Option

> **Iran may avoid penalty escalation by ordering the immediate release of the vessel within 2 hours of notification.** Release must be unconditional and must include written confirmation transmitted through the back-channel. If the vessel is released within the 2-hour window, the financial penalty under Article 3 shall not accrue. The JIG shall verify release through AIS data confirmation that the vessel is underway at normal transit speed within the corridor.

6.3 Post-Release Rights

A vessel released under this Article retains the right to seek additional damages through PCA arbitration under Annex N, Article 6, but the automatic penalty under Article 3 of this Annex N.a shall cease upon verified release. The vessel operator may pursue claims for: cargo spoilage; schedule disruption; crew distress; and reputational damage through the PCA mechanism, but such claims are separate from and in addition to the automatic penalty under this Annex N.a.

Article 7: Relationship to Annex N and Other Annexes

7.1 Superseding Enforcement Protocol

This Annex N.a is a superseding enforcement protocol to Annex N. It does not amend Annex N's text but provides the immediate consequences that Annex N assumes.

7.2 Governing Provisions

> *In the event of any inconsistency between Annex N and Annex N.a, Annex N.a shall govern with respect to:*
>
> *(a) Classification of interdiction events;*
>
> *(b) Escort authority and override procedures;*
>
> *(c) Financial penalties;*
>
> *(d) Bright-line test for safety inspection vs. backdoor toll;*
>
> *(e) Repeat interdiction escalation; and*
>
> *(f) Vessel release procedures.*

7.3 Relationship to Annex T

> **In the event of any inconsistency between Annex N.a and Annex T (Stepback/Earnback), the more severe consequence shall apply for interdiction events,** given the operational urgency of maritime transit integrity. The Parties agree that maritime interdiction poses a unique threat to framework stability and warrants expedited, stringent consequences. The escalation ladder in Article 5 of this Annex shall supersede the standard Tier 1–2–3 progression of Annex T for interdiction-specific events.

7.4 Preservation of Annex N

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All other provisions of Annex N remain in full force and effect, including the absolute prohibition on interdiction and the SOLAS safeguard. Annex N.a is optimized for use with Annex N but provides stand-alone enforcement protocols for any framework with a maritime transit guarantee. Both Annexes are designed to operate as a unified system, and incorporation of both is recommended for full operational functionality.

Article 8: Incorporation by Reference

> ***This Annex N.a may be incorporated into any existing or future agreement by the following sentence:***
>
> > *"The Parties adopt Annex N.a (Maritime Backdoor Closure: Immediate Consequence Protocol) as a superseding enforcement protocol to Annex N. In the event of any inconsistency, Annex N.a shall govern with respect to classification of interdiction events, escort authority, financial penalties, the bright-line test for safety inspections, repeat interdiction escalation, and vessel release procedures."*

No amendment of Annex N or any parent framework is required. This Annex N.a enters into force upon signature by both Parties or upon provisional application by exchange of diplomatic notes.

Article 9: Provisional Application

The Parties may apply this Annex N.a provisionally for 90 days, pending formal incorporation.

- Provisional application shall be effected by an exchange of diplomatic notes.
- During provisional application, all provisions of this Annex N.a shall be operative and binding.
- Either Party may terminate provisional application with 14 days' written notice.

9.3 Post-Termination Fallback

> **If a Party terminates provisional application of Annex N.a but remains bound by Annex N,** the 30-day PCA arbitration timeline of Annex N shall apply, but the Parties agree to expedite all maritime dispute arbitrations to 7 days. The automatic penalties and escort authority of this Annex N.a shall not apply during the period when Annex N.a is not in force, but any penalties assessed during provisional application shall remain due and enforceable.

Article 10: Severability

If any provision of this Annex N.a is found by a court of competent jurisdiction or arbitral panel to be unenforceable, the remaining provisions shall remain in full force and effect.

The Parties shall promptly negotiate a replacement for any unenforceable provision, preserving the original intent to the maximum extent possible. In particular, if the escort authority under Article 2 is found unenforceable in any jurisdiction, the Parties shall negotiate an alternative vessel protection mechanism that achieves the same operational objective of ensuring safe transit for commercial vessels through the Hormuz Transit Zone.

What Annex N.a Does That Annex N Did Not

Table N.a-5: Capability Comparison: Annex N vs. Annex N.a

Issue	Annex N	Annex N.a
What happens immediately when a vessel is stopped?	30-day PCA arbitration	Automatic Tier 2; hotline within 15 min; US escort authority; financial penalty at T+2 hours
Financial penalty	None specified	$1M/day from MMMF or next sanctions tranche; automatic assessment; escrow hold pending dispute
Safety inspection loophole	SOLAS safeguard referenced but no test	Bright-line table: boarding, delay, demands = prohibited; burden of proof on Iran
Repeat interdictions	No escalation mechanism	2nd = Tier 3 (full escrow freeze); 3rd = maritime module termination
Release procedure	None specified	2-hour window to avoid penalty; 24-hour max before presumptive Tier 3; automatic timeline
US escort authority	Not specified	Explicit permission to escort without breaching stand-off; clear permitted/prohibited list
Civilian enforcement loophole	Uniform Vessel Protocol (Annex N, Art 4)	Same protocol applied with explicit consequence for PGSA vessels that engage in prohibited actions
Verification standards	General complaint mechanism	4 specific verification methods with time-to-classification: operator report (T+0), naval observation (15 min), satellite (60 min), AIS automated (5 min)
Burden of proof	Not specified	Burden on Iran to prove SOLAS inspection; unsupported claims rejected

Signature Block

For the Islamic Republic of Iran:

Name:

Title:

Date:

For the United States of America:

Name:

Title:

Date:

Witnessed by the Joint Secretariat (Muscat):

Signature:

Date:

Superseding Enforcement Protocol to Annex N — Version 1.0 — Immediate Operational Use